AFRICAN SOLIDARITY CIVIC ORGANISATION (ASCO)

Registered NPC: 2026/521895/08 | Tax Reference: 9322812265
49 Rif Road, Manor Gardens

SARS PBO Exemption: 930092287 | Section 18A approved effective: 9 October 2026

Durban, KwaZulu-Natal

4001
info@africansolidaritycivic.org | www.africansolidaritycivic.org

DONATION ACCEPTANCE, DUE DILIGENCE AND GIFT ADMINISTRATION PROCEDURE

Document Control	Details
Document title	Donation Acceptance, Due Diligence and Gift Administration Procedure
Document number / reference	ASCO-DON-PROC-001-2026
Version	1.0
Effective date	12 October 2026
Approval authority	ASCO Board of Directors
Approved by	To be completed in the Board approval register
Review date	16 September 2027
Document status	Final — adoption-ready
Owner / responsible function	Executive Director with Finance and Procurement Committee oversight

ASCO is a South African Non-Profit Company registered under CIPC number 2026/521895/08, with SARS income tax reference 9322812265, and its public address at 49 Rif Road, Manor Gardens, Durban, KwaZulu-Natal, 4001. ASCO is an approved Public Benefit Organisation (SARS PBO Reference No. 930092287). ASCO is approved to issue Section 18A tax-deductible donation receipts effective 9 October 2026, subject to the Income Tax Act, SARS requirements and ASCO's receipt-control procedures. Receipts may be issued only for qualifying donations used solely for ASCO's approved Section 18A public benefit activities.

Updated: 27 October 2026 — SARS PBO and Section 18A approval status harmonised from the approval letter dated 26 October 2026.

The Board governs; Executive Management manages. The Founder/Founding Chairperson, Ms Busisiwe Makhosi Shandu, provides institutional oversight and does not sign, approve, initiate, co-authorise or control ASCO financial documents or transactions. Operational financial authority rests within the Board-approved delegation framework, including the Executive Director, Finance and Procurement Committee and authorised financial signatories.

1. Purpose and Scope

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This procedure controls the receipt, review, acceptance, refusal, administration and closure of monetary, in-kind, restricted, conditional and sponsored donations. It complements the Donations and Refunds Policy and applies to Directors, Executive Management, employees, volunteers, representatives and any person receiving or recording a donation for ASCO.

2. Definitions

Term	Meaning
Unrestricted donation	A donation available for ASCO's lawful objectives without a project-specific restriction.
Restricted donation	A donation accepted in writing for a defined programme, project, place, beneficiary group or purpose.
Conditional donation	A donation dependent on conditions that must be assessed and approved before acceptance.
Gift administrator	The person assigned by the Executive Director to coordinate documents, register entries and acknowledgement.
High-risk donation	A donation presenting elevated legal, source-of-funds, sanctions, corruption, reputational, operational or donor-influence risk.

3. Acceptance Principles

- ASCO accepts only lawful donations consistent with its public-benefit objects, independence, dignity, safeguarding duties and approved policies.
- No donor obtains control over ASCO governance, programme decisions, beneficiaries, employment decisions or public positions merely because they donate.
- ASCO does not accept revocable donations or conditions that provide an improper direct or indirect benefit to the donor or a connected person.
- ASCO does not represent ordinary donations as Section 18A tax-deductible donations.
- Cash handling is exceptional; electronic payment is preferred and any cash must be counted, receipted, secured and deposited promptly.

4. Risk Triage and Approval

Risk	Typical indicators	Minimum action	Approval
Low	Identified donor; ordinary unrestricted	Record, verify payment, register and	Gift administrator / Executive Director.

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Risk	Typical indicators	Minimum action	Approval
	donation; no adverse indicators; modest value.	acknowledge.	
Medium	Restricted purpose; material in-kind gift; corporate donor; unusual payment route; incomplete information.	Obtain documents, conflict check, written terms and enhanced review.	Executive Director plus Finance and Procurement Committee.
High	Anonymous or opaque source; sanctions/PEP concern; suspected crime; revocable or improper conditions; major reputational risk; unexplained third-party payment.	Pause; escalate; do not use funds; seek legal/compliance advice; refuse or return where appropriate.	Board approval after written risk assessment; legal advice where needed.

5. Procedure

1. Receive the offer or payment and assign a provisional donation reference.
2. Identify the donor and obtain proportionate source and purpose information.
3. Check restrictions, conflicts, donor influence, reputational indicators and payment consistency.
4. Classify risk and obtain the required approval before acceptance or expenditure.
5. Record the donation in the Donation Register and link all supporting documents.
6. Issue an ordinary acknowledgement only after receipt is verified; do not issue a Section 18A receipt before approval.
7. Allocate, account for, reconcile and report the donation under the relevant procedure.
8. If rejected or returned, document the reason, authorisation, payment trail and final disposition.

6. Refusal and Return Criteria

- Illegal, suspected proceeds of crime, terrorism-financing concern or unexplained third-party funds.
- Donor seeks improper control, personal benefit, political influence or beneficiary selection inconsistent with ASCO principles.

- Conditions conflict with ASCO's objects, safeguarding, non-discrimination, independence or law.
- Donation cannot be administered, valued, stored, insured, transported or reported responsibly.
- The donor cannot provide information proportionate to the risk after a reasonable request.

7. Records, Monitoring and Exceptions

The Gift Administrator maintains the file. The Executive Director reviews open items monthly. The Finance and Procurement Committee reviews reconciliations, restricted funds, refusals, refunds and medium/high-risk donations quarterly and reports material matters to the Board. Any exception requires written reasons, risk controls and approval at the level that would have approved the underlying donation.

8. Legal and Related References

This procedure is informed by the Income Tax Act requirements for PBOs and Section 18A approvals, the Companies Act 71 of 2008, POPIA, applicable anti-fraud and anti-corruption obligations, and the official SARS PBO guidance and checklist. Related documents: ASCO Donations and Refunds Policy 2026; Delegation of Authority and Financial Management Policy 2026; Privacy and POPIA Notice 2026; PAIA Manual 2026; Safeguarding and Complaints Policy 2026; Board Charter 2026; Constitution 2026; Memorandum of Incorporation 2026; PBO Motivation 2026; Public Benefit Activities 2026.

Approval and Adoption

This document is complete and adoption-ready. It becomes an approved ASCO operational instrument when adopted through a properly recorded Board resolution or approval register entry. No approval, meeting or signature is represented as having occurred by this document alone.

CHAIR LADY
Ms. Busisiwe Makhosi Shandu
Signature: _____
Date: **2 October 2026**

DIRECTOR: HEAD OF ICT AND COMMUNICATIONS
Mr. Thapelo Nelson Maqalika
Signature: _____
Date: **2 October 2026**

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EXECUTIVE DIRECTOR
Mr. Bhekisisa Shandu
Signature: _____
Date: **2 October 2026**
_____

DIRECTOR: PEOPLE AND CULTURE / CHAIRPERSON: FINANCE AND PROCUREMENT COMMITTEE
Mr. Khulekani Gumede
Signature: _____
Date: **2 October 2026**
_____